



BUSINESS RESPONSIBILITY REPORT

Introduction

POWERGRID recognizes that commitment to sustainability can be reflected by promoting a holistic approach to corporate reporting that focuses on financial as well as non-financial value creation. The report describes our engagement with stakeholders, leadership and governance, relationship with communities, delivering reliable services and sustainable investments, focused on Economic, Environmental, Social & Governance aspects.

This report conforms to the Business Responsibility Reporting (BRR) requirements as laid down under Regulation 34(2)(f) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the National Voluntary Guidelines (NVGs) on Social, Environmental and Economic Responsibilities of Business released by the Ministry of Corporate Affairs (MCA), India.

Section A: General Information about the Company

1	Corporate Identity Number (CIN) of the Company	L40101DL1989GOI038121								
2	Name of the Company	Power Grid Corporation of India Ltd								
3	Registered address	B-9, Qutab Institutional Area, Katwaria Sarai, New Delhi-110016								
4	Website	www.powergrid.in								
5	E-mail id	sustainability.report@powergrid.co.in								
6	Financial Year reported	2021-22								
7	Sector(s) that the Company is engaged in (industrial activity code-wise)	<table><tr><th>Sector(s)</th><th>ITC Code No.</th></tr><tr><td>Transmission of Electricity</td><td>99691110</td></tr><tr><td>Telecom</td><td>99841100</td></tr><tr><td>Consultancy & Project Management</td><td>99833244</td></tr></table>	Sector(s)	ITC Code No.	Transmission of Electricity	99691110	Telecom	99841100	Consultancy & Project Management	99833244
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Transmission of Electricity	99691110									
Telecom	99841100									
Consultancy & Project Management	99833244									
8	List three key products/services that the Company manufactures/provides (as in balance sheet)	i) Transmission ii) Telecom iii) Consultancy Services (Domestic /International)								
9	Total number of locations where business activity is undertaken by the Company i) Number of International Locations (Provide details of major 5) ii) Number of National Locations	(i) International: POWERGRID is providing Consultancy services to overseas Clients in all facets of Power Transmission with footprints in more than twenty Countries. During the financial year ended on 31 st March, 2022, POWERGRID has on-going assignments in Nepal, Bangladesh, Moldova, Uganda and Fiji. Further, POWERGRID is having a branch office in Nepal. (ii) National: Total 276 which includes 265 sub-stations (including subsidiaries), 10 Regional headquarters and a Corporate Office at Gurgaon. Telecom department has its points of presence in more than 1,200 locations spread across the country. Apart from above, a no. of substations and transmission lines are presently under construction and personnel are located on various site(s).								
10	Markets served by the Company - Local/ State/National/International	POWERGRID has footprint in all the markets-Local/State/National/ International.								

Section B: Financial Details of the Company

1	Paid up Capital (INR)	6,975.45 crore
2	Total Income (INR)	42,335.87 crore
3	Total Profit after Taxes (INR)	17,093.76 crore
4	Total Spending on Corporate Social Responsibility (CSR) as a percentage of profit after tax (%)	During FY 2021-22, the Company has spent ₹ 271.14 crore [i.e. 2.11% of average net profits of the Company for last three financial years] on various CSR activities.
5	List of activities in which expenditure in 4 above has been incurred	Health, Education, Environmental Sustainability, Sanitation, Rural Development, Skill Development programmes etc.

Section C: Other Details

1. Does the Company have any Subsidiary Company/ Companies?

As on March 31, 2022, POWERGRID had twenty four wholly owned subsidiary Companies viz. (i) POWERGRID NM Transmission Limited (ii) POWERGRID Vemagiri Transmission Limited (iii) POWERGRID Unchahar Transmission Limited (iv) POWERGRID Southern Interconnector Transmission System Limited (v) POWERGRID Medinipur Jeerat Transmission Limited (vi) POWERGRID Mithilanchal Transmission Limited (vii) POWERGRID Varanasi Transmission System Limited (viii) POWERGRID Jawaharpur Firozabad Transmission Limited (ix) POWERGRID Khetri Transmission System Limited (x) POWERGRID Bhind Guna Transmission Limited (xi) POWERGRID Ajmer Phagi Transmission Limited, (xii) POWERGRID Fategarh Transmission Limited, (xiii) POWERGRID Bhuj Transmission Limited, (xiv) POWERGRID Rampur Sambhal Transmission Limited (xv) POWERGRID Meerut Simbhavali Transmission Limited (xvi) POWERGRID Ramgarh Transmission Limited (xvii) POWERGRID Bikaner Transmission System Limited, (xviii) Central Transmission Utility of India Limited (xix) POWERGRID Sikar Transmission Limited (xx) POWERGRID Aligarh Sikar Transmission Limited (xxi) POWERGRID Himachal Transmission Limited (xxii) POWERGRID Bhadla Transmission Limited (xxiii) POWERGRID Teleservices Limited (xxiv) POWERGRID Energy Services Limited.

2. Do the Subsidiary Company/Companies participate in the BR Initiatives of the parent Company? If yes, then indicate the number of such subsidiary Company(s)

Yes. The BR initiatives of POWERGRID generally apply to its subsidiaries also.

3. Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]

Yes. The Environmental and Social Policy & Procedures (ESPP) of POWERGRID encompass the Company, its Joint Venture Companies, subsidiaries in general and relative aspects pertaining to Vendors/Suppliers/Contractors through contract conditions. Vendors/Suppliers/Contractors are required to comply with the provisions of the labour laws, environmental laws & effectual safety plans through stipulations in the Conditions of Contract. The percentage of such Vendors /Suppliers/ Contractors are more than 60%.

Section D: BR Information

1. Details of Director/Directors responsible for BR

a) The detail of the Director responsible for implementation of the BR policy/policies is as under:

- DIN Number : 07388432
- Name : Shri Abhay Choudhary
- Designation : Director (Projects)

b) Details of the BR head

S. No.	Particulars	Details
1.	DIN Number (if applicable)	Not Applicable
2.	Name	Shri A Nagaraju (BR Head w.e.f. 01.01.2022)
3.	Designation	Executive Director (ESMD & CSR)
4.	Telephone number	0124-2571955
5.	E-mail id	nagaraju1965@powergrid.in

S. No.	Particulars	Details
1.	DIN Number (if applicable)	Not Applicable
2.	Name	Shri T.C. Sarmah*
3.	Designation	Executive Director (ESMD & CSR)
4.	Telephone number	0124-2571955
5.	E-mail id	tcsarmah@powergrid.in

* Shri T. C. Sarmah took over the charge as BR head w.e.f. 02.12.2020 and superannuated on 31.12.2021.



2. Principle-wise (as per NVGs) BR Policy/policies

The National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business released by the Ministry of Corporate Affairs has adopted following nine areas of Business Responsibility:

P1	Businesses should conduct and govern themselves with Ethics, Transparency and Accountability
P2	Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle
P3	Businesses should promote the wellbeing of all employees
P4	Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized
P5	Businesses should respect and promote human rights
P6	Business should respect, protect, and make efforts to restore the environment
P7	Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner
P8	Businesses should support inclusive growth and equitable development
P9	Businesses should engage with and provide value to their customers and consumers in a responsible manner



a) Details of compliance (Reply in Y/N)

Sr. No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	Do you have policy/policies for....	Y	Y	Y	Y	Y	Y	NA	Y	Y
2.	Has the policy being formulated in consultation with the relevant stakeholders? *	Y	Y	Y	Y	Y	Y	NA	Y	Y
3.	Does the policy conform to any national / international standards? If yes, specify?* (50 words)	Y	Y	Y	Y	Y	Y	NA	Y	Y
4.	Has the policy being approved by the Board? If yes, has it been signed by MD/owner/CEO/appropriate Board Director?	Y	Y	Y	Y	Y	Y	NA	Y	Y
5.	Does the Company have a specified committee of the Board/ Director/ Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	NA	Y	Y
6.	Indicate the link for the policy to be viewed online?	www.powergrid.in								
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	NA	Y	Y
8.	Does the Company have in-house structure to implement the policy/ policies?	Y	Y	Y	Y	Y	Y	NA	Y	Y
9.	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	Y	Y	Y	Y	Y	Y	NA	Y	Y
10.	Has the Company carried out independent audit/evaluation of the working of this policy by an internal or external agency? *	Y	Y	Y	Y	Y	Y	NA	Y	Y

*Conforms to / are updated / reviewed in accordance with the National Standards including GOI/ CVC/ DPE Guidelines, applicable laws etc.

b) If answer to question at S. No. 1 against any principle, is 'No', please explain why: (Tick up to 2 options)

S. No.	Questions	Principle 7- Responsible public policy advocacy
1.	The Company has not understood the principles	-
2.	The Company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles	-
3.	The Company does not have financial or manpower resources available for the task	-
4.	It is planned to be done within next 6 months	-
5.	It is planned to be done within the next 1 year	-
6.	Any other reason (please specify)	POWERGRID is a member of various industrial and trade bodies and participates in these forums on issues and policy matters that impact the interest of our stakeholders. Keeping in view the significant interest of POWERGRID in the Transmission sector, a separate Regulatory Cell is in place to undertake POWERGRID's endeavor of a proactive approach as part of policy advocacy with the stakeholders and CERC/CEA/MoP. Wherever felt necessary, we give our comments on various approach papers, consultation papers, draft regulations/rules etc. issued by CERC, CEA, MoP, TRAI and other authorities.

3. Governance related to BR

a) Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, more than 1 year

3-6 months

b) Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

Yes, the Company has been publishing a separate "Sustainability Report" biennially since 2010. Company has published its 7th Sustainable Report covering period FY 2019-21 based on Global Reporting Initiatives (GRI) standards (Core) duly validated by independent accredited assurance provider following International standards like Accountability's AA1000AP (2018) & AA1000SES (2015). These reports are accessible on the Company website at the hyperlink: <https://www.powergrid.in/sustainability-report>

Section E: Principle-wise performance

Principle 1- Businesses should conduct and govern themselves with Ethics, Transparency and Accountability

1. Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/No. Does it extend to the Group/ Joint Ventures/Suppliers/Contractors/NGOs/Others?

Yes. POWERGRID is committed to observe transparency and consistency in all its operations. POWERGRID follows a number of policies/rules to strengthen ethical conduct at all levels including the following:

- a) **Code of Business Ethics & Conduct:** POWERGRID has laid down two separate Code of Business Ethics & Conduct – one for Board Members and another for Senior Management Personnel (including those deputed in Subsidiaries/ Joint Ventures) in alignment with Company's Vision & Mission and aims at enhancing ethical and transparent process in managing the affairs of the Company.
- b) **POWERGRID Conduct and Discipline Appeal rules (POWERGRID CDA Rules):** POWERGRID CDA Rules define the desirable and non-desirable acts and conduct for the employees and extend to all employees working with it (including those deputed in Subsidiaries/ Joint Ventures). The aspects of Bribery and Corruption are also covered under CDA rules. There is laid down procedure for actions in the case of non-compliance with the defined terms as well as for any misconduct.
- c) **Whistle Blower and Fraud Prevention Policy:** Whistle Blower and Fraud Prevention policy provides a system for disclosures made by employees or complaint of any fraud or suspected fraud involving employees of POWERGRID (all full time, part-time or employees appointed on adhoc/ temporary/contract basis) as well as representative of vendors, suppliers, contractors, service providers or any outside agency(ies) doing any type of business with POWERGRID.



Since, POWERGRID is a designated public authority, the provisions of the Right to Information Act, 2005 are applicable on us. The Chief Public Information Officers (CPIO) at the Corporate and Regional level ensure smooth access to information in a timely manner.

Several initiatives have been taken / are being taken by POWERGRID to strengthen integrity, transparency and fairness in its business practices which includes the following:

- (i) Well defined "Delegation of Powers" is in place delineating the powers of the top executives and below for carrying out work in systematic manner.
- (ii) POWERGRID has implemented "Works & Procurement Policy and Procedure (WPPP) for Pre-award and Post-award Stages" (as amended from time to time) with a view to make the policies and procedures more systematic, transparent and easy to administer uniformly throughout its business operations with major thrust on expeditious and decentralized decision making coupled with accountability and responsibility.
- (iii) "Integrity Pact Program" has been implemented which is considered as a useful tool in ensuring transparency in the procurement process. Contracts above ₹100 Crore are also monitored by a panel of "Independent External Monitors (IEMs)". Further, Standard Operating Procedures (SOPs) pertaining to Integrity Pact Program (IPP) have been reviewed by CVC and a revised SOP (SOP 2021) has been formulated for adoption. POWERGRID has implemented the revised SOP in its business context. As per the revised SOP, the Contractor shall also sign the Integrity pact with its sub-contractors before employing under the Contract.
- (iv) Manuals and Procedures are in place for Construction, Operation & Maintenance.
- (v) E-procurement mechanism for most of the project procurements has been implemented.
- (vi) E-Reverse auction mechanism is in place.
- (vii) The Project "RUPANTAR", the Enterprise Resource Planning (ERP) initiative of our Company has been implemented and majority of the key processes related to business are running on ERP.
- (viii) Detail of Award is posted on the website on real time basis.
- (ix) POWERGRID focuses on Preventive, Pro-active as well as Punitive Vigilance. Aiming at better transparency and to inculcate good governance within the organization, POWERGRID has taken a number of initiatives. For details, section on 'Commitment to Transparency and Ethical Practices' under Directors' Report may be referred.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.

During FY 2021-22, 49 complaints were received. About 43 (i.e. 87.70%) of complaints have been disposed off during the year and the remaining are under due process.

Principle 2 - Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.

- (i) In order to reduce usage of Diesel Generator as backup power supply, POWERGRID is establishing Battery Energy Storage System (BESS) of 500 kW/250 kWh capacity at its Township (Sector 43, Gurugram). The BESS shall continuously supply reliable power for at least half an hour at full rated load. The BESS is envisaged to supply 900 MWh energy in its operational life, i.e. equivalent to more than 3.5 Lakh litres of Diesel usage.
- (ii) POWERGRID has taken initiative to demonstrate the use of Natural & Synthetic Esters as Transformer Insulation fluid in place of conventional Mineral Oil as pilot project at 400kV level. Under this initiative, POWERGRID has successfully commissioned one number 420kV 50 MVAR Shunt Reactor with Natural Ester Fluid in one of its Substation. One number 315 MVA 400/220kV Transformer with Synthetic Ester Fluid is under manufacturing. Natural & Synthetic Ester fluids are environment friendly & safe as they are readily bio-degradable and having higher flash/ Fire point. Based on successful operational experience, same shall be used in more number of projects which will help in reducing Carbon footprints and achieving Sustainable Development Goal.
- (iii) POWERGRID's pioneering effort in developing technology for use of the inductive power in earth wire for powering of telecom antennas has huge potential to reduce emission of Green House Gases (GHGs) from DG sets, a constant source of pollution and GHGs emission. It is estimated that such initiative will result in saving of 40-60 tCO₂/ year/location.
- (iv) POWERGRID has developed and tested monopole structures for 400 kV and 765 kV voltage levels which will go long way in addressing RoW problem in densely populated urban areas, conservation of forest & aesthetic associated with big lattice tower.

(v) Adoption of modern techniques viz. GIS / GPS, satellite imaging etc. help in selection of most optimum line route avoiding ecologically and socially sensitive areas as far as possible, thus, resulting in minimum ecological and social footprint.

2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product(optional):

- a) Reduction during sourcing/production/ distribution achieved since the previous year throughout the value chain?**
- b) Reduction during usage by consumers (energy, water) has been achieved since the previous year?**

These activities are being carried out under various policies / guidelines and are implemented from time to time.

3. Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.

Sustainability in sourcing is enforced through the Environmental and Social Policy & Procedures (ESPP) of POWERGRID which extends to Suppliers/Contractors/Vendors through contract conditions. Vendors/Suppliers/Contractors are required to comply with ESPP, Labour laws, Environmental laws & effectual Safety plans through stipulations in the Conditions of Contract. Contracts provide penalties to be imposed on the Vendors/Suppliers/Contractors in the event of breach of the said provisions.

4. Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

POWERGRID has adopted various Govt. policies issued from time to time aimed at increasing share of procurement from Local and small vendors. In this context, it is to be mentioned that POWERGRID has implemented Public Procurement (Preference to Make in India) Order, 2017 and its subsequent modifications/amendments in its business context which provides Purchase preference to Local Suppliers. Further, POWERGRID has also implemented Public Procurement Policy (PPP) for Micro & Small Enterprises (MSEs) which is aimed at increasing procurement from Micro and Small enterprises.

For development and facilitations of Micro and Small Enterprises (MSEs), POWERGRID on regular basis organizes various Vendor Development Programmes (VDPs)/Trainings/Interaction sessions for MSEs at National and Regional level.

Majority of the Procurement being done by POWERGRID are through Domestic Bidding with focus on local suppliers and indigenous manufacturers. Special emphasis has been kept on locally manufactured goods and services under the 'Make in India' initiatives.

For details, section on "Participation in GoI Initiatives" under Directors' Report may be referred.

5. Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so.

Due to nature of the Company's business, there is no process waste generated and the waste is restricted primarily to metal scraps, used batteries, used transformer oil, e-waste etc. However, Company has put in place systems for reuse/recycling of these waste materials. The wastes such as used transformer oil, used batteries, & e-waste are disposed either to Govt. authorized recyclers/reprocessors or channelized back to manufacturers for recycling as per the applicable rules/regulations, which takes care of 100% recycling of such wastes. For further details on quantity and disposal method, refer Sustainability Reports available at below hyperlink

<https://www.powergrid.in/sustainability-report>

POWERGRID has installed composting machines at more than 55 locations for recycling and reuse of organic/bio-degradable waste generated from its residential townships/substations and office establishments. This initiative has eliminated the problem of disposal of organic waste as well as compost produce from such waste is gainfully utilized in-house. Further, digital initiatives towards paperless work such as e-office, DREAMS (Drawing Review and Engineering Approval Management System), e-Tendering Portal-PRANIT, establishment of Centralized Vendor Bill Processing facilities etc. has not only reduced the generation of waste paper substantially but also paved the way for paperless office in future.



Principle 3- Businesses should promote the wellbeing of all employees

1. Please indicate the Total number of employees.

Total numbers of employees as on March 31, 2022 were 8,536.

2. Please indicate the Total number of employees hired on temporary/contractual/casual basis.

Total number of employees hired on contractual basis for fixed term assignments as on March 31, 2022 were 434 (excluding contractual labour).

3. Please indicate the Number of permanent women employees.

Number of permanent women employees as on March 31, 2022 were 672.

4. Please indicate the Number of permanent employees with disabilities.

Number of permanent employees with disabilities as on March 31, 2022 were 213.

5. Do you have an employee association that is recognized by management.

Employees under workmen category are represented through Trade Unions and the management has recognized bipartite forum (workmen-management forum) at National and Regional level of POWERGRID.

6. What percentage of your permanent employees is members of this recognized employee association?

Workmen represent about 22% of the employee strength in POWERGRID.

All Workmen are eligible as members of Trade Union.

7. Please indicate the Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

S. No.	Category	Number of complaints filed during the financial year	Number of complaints pending as on end of the financial year
1.	Child labour/forced labour/involuntary labour	NIL	NIL
2.	Sexual harassment	3	NIL
3.	Discriminatory employment	NIL	NIL

8. What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year?

Enhancing learning for achieving high performance in work related systems, processes and practices is an integral part of the Company's human resource strategy. To this end, to spearhead excellence in learning and performance, POWERGRID has world class infrastructure such as training centers to provide training to its Employees as well as other Power utilities (National & International).

Employees	% of Employees given safety & skill up-gradation training in the last year i.e. FY 2021-22
Permanent Employees	87.06%
Permanent Women Employees	86.66%
Casual/ Temporary/ Contractual Employees	89.31%
Employees with Disabilities	92.20%

Principle 4- Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.

1. Has the Company mapped its internal and external stakeholders? Yes/No

Yes, POWERGRID has mapped its internal and external stakeholders. We recognize Shareholders, Regulatory Authorities, Government of India (Gol), Customers, Communities/persons residing around our areas of operation, Projects Affected Persons (PAPs)/Communities, Employees, Suppliers & Contractors, Research & Development Institutions, Funding Agencies and Media as our key stakeholders in economic, environment & social dimensions.

POWERGRID engages with its identified stakeholders on an ongoing basis and the prioritization of such engagement has

been done considering factors like Dependency, Influence, Responsibility and Proximity. There is a structured Stakeholder Engagement Matrix which details specific engagement mechanisms including mode & frequency of engagement for each stakeholder category.

For details you may refer Stakeholder Engagement Section of Directors' Report.

2. Of the above, has the Company identified the disadvantaged, vulnerable & marginalized stakeholders?

Yes, the Company has identified the disadvantaged, vulnerable & marginalized stakeholders.

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders. If so, provide details thereof, in about 50 words or so.

POWERGRID has taken following initiatives to engage with the disadvantaged, vulnerable and marginalized stakeholders:

Internal Stakeholders (Employees- Persons with Disabilities (PWD/ SC/ ST/ Women) –

At POWERGRID, we believe that an effective stakeholder engagement is necessary for achieving continuous and inclusive growth. Diversity is backbone of our organization and we believe that our internal stakeholders are our assets. We endeavor to make the disadvantaged, vulnerable and marginalized Internal stakeholders feel valued and heard by taking following special initiatives:

- i) **Open and Transparent Recruitment:**– POWERGRID ensures diversity at workplace through efforts to recruit, develop and retain the most talented people from the pool of SC/ ST/ OBC/ Ex-servicemen/ Persons with Disabilities (PWD) candidates, in accordance with GoI directives on reservation matters.
- ii) **Listening and Timely Grievance Redressal:**– A Reservation Cell has been constituted at the corporate, as well as regional level to comply with GoI directives on reservation matters for SC/ST/OBC/Ex-servicemen/ Persons with Disabilities (PWD). This cell is under direct control of nominated liaison officer(s). The Liaison Officer(s) are available on a pre-fixed day and time for interaction once in a week. Wide publicity regarding availability of the liaison officer is ensured amongst SC/ST employees. Regular meetings are held with the representatives of the above category.
- iii) **Internal Complaints Committee (ICC) :-** ICC constituted under Sexual Harassment of Women in Workplace (Prevention, Prohibition, Redressal) Act, 2013 exists in the Company in order to handle complaints related to the harassment of sexual nature of women. Women employees are extended certain relaxations like posting in soft locations, etc.
- iv) **Training and Support:**– 'Awareness Programme' are organized to acquaint the SC/ST/OBC/PWD/Women employees about the relaxations and concessions available to them under Government directives.
- v) **Barrier Free Work environment:**– In all establishments of POWERGRID, employees are facilitated with built up environment conforming to the standards under Accessible India Campaign/ Sugamya Bharat Abhiyaan and thus have the facilities of ramp, disabled friendly elevators etc. The Corporate website of the Company is also equipped with screen reader access.

External Stakeholders –

Corporate Social Responsibility (CSR) Initiatives: CSR activities of POWERGRID are focused towards initiatives that promote inclusive growth and address the basic needs of the under privileged and weaker sections of the society. The organization addresses the issues of Community Development with thrust on Healthcare, Promoting Education, Drinking Water & Sanitation, Skill development, Infrastructure creation for Rural Development, Environmental Sustainability, Disaster Management, etc. primarily in and around its areas of operations. A large number of women, girls, SC/ST/Minority, poor & marginalized section of the population were benefitted as a result of POWERGRID's CSR initiatives. Various CSR initiatives such as improvement in facilities at public healthcare / educational institutions, Scholarship / financial assistance to the deprived students, etc. had been undertaken for improving the quality of life of the less privileged population. Besides, a large number of projects involving infrastructure development in rural areas like Construction of Vishram Sadans in Govt. Hospitals, construction of classrooms/ community centers/ toilets in school, providing schools furniture, operationalization of smart classes, Installation of solar street lights, creating sanitation and drinking water facilities, construction/renovation of roads, etc. have been undertaken. In addition, the Company continues to undertake several Skill Development initiatives under CSR by imparting livelihood-oriented skill development training through various Government agencies.

Principle 5 - Businesses should respect and promote human rights

1. Does the policy of the Company on human rights cover only the Company or extend to the Group/Joint Ventures/ Suppliers/Contractors/NGOs/Others?

Human Rights issues have been incorporated in all Policies and Practices of POWERGRID in letter and spirit which extend to the employees including those deputed in Subsidiaries/ Joint Ventures and relative aspects pertaining to Vendors/ Suppliers/ Contractors through contract condition.

POWERGRID is committed to take care of its employees as well as all stakeholders. Compliance is ensured to all the law of the land. Measures for Rehabilitation and Resettlement of project affected persons takes special care in addressing the needs of



marginalized groups of individuals based on gender, caste, physical disability etc. Also, impact assessment studies are carried out in these areas afterwards. Our CSR Activities also focus on community development in underdeveloped areas.

To promote fair and equitable employment relationship, a scheme for Grievance Redressal of employees is also in place which ensures a time bound redressal of grievances. Internal Complaints Committee (ICC) have been constituted under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 to redress complaints received regarding sexual harassment.

POWERGRID also got certified to Social Accountability Standard SA-8000 for its human resource and labour management policies and practices. Vendors /suppliers / contractors are required to comply with the provisions of the labour laws/ Human rights etc. through stipulations in the conditions of contract. All contractors are required to comply with various compensation, safety and regulatory acts. POWERGRID takes declaration regarding Social Accountability from the bidders/contractors for compliance of all requirements of Social Accountability Standards i.e., SA-8000 (latest Standard available at www.sa-intl.org), which also forms part of contract documents. Provision of penalties for non-adherence of the same are also included in the contract conditions.

POWERGRID promotes awareness of the importance of respecting Human Rights within its value chain and discourage instances of abuse. Besides conducting technical and behavioural trainings, the training on Human Rights issues to sensitize people towards women, the differently-abled and the socially weaker sections of the society have also been imparted.

2. **How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?**

No complaint was received regarding human rights violation during the reporting period (2021-22).

Principle 6 - Business should respect, protect, and make efforts to restore the environment

1. **Does the policy related to Principle 6 cover only the Company or extends to the Group/Joint Ventures/Suppliers/Contractors/NGOs/others.**

The Environmental and Social Policy & Procedures (ESPP) of POWERGRID encompass the Company, its Joint Ventures, subsidiaries in general and relative aspects pertaining to Vendors/ Suppliers/Contractors through contract condition.

2. **Does the Company have strategies/initiatives to address global environmental issues such as climate change, global warming, etc.? Y/N. If yes, please give hyperlink for webpage etc.**

Yes, Company has taken various initiatives for mitigating climate change to fulfil its commitment towards the goal of sustainable development and to meet the Gol's Nationally Determined Target (NDC) under Paris Agreement. Some major initiatives in this regard are:

- ✓ POWERGRID has successfully achieved the goal of reducing involvement of forest, an important natural resource by more than 60% since 1998 through study of alternatives and adoption of modern survey techniques such as GIS, GPS and Remote Sensing based route optimization. This significant reduction in forest involvement as well as providing fund for compensatory afforestation over double the area diverted helping in maintaining/enhancing India's carbon sink commitment under NDC target.
- ✓ Towards fulfilment of Gol's target of 500 GW Capacity from non-fossil energy sources by 2030, POWERGRID is playing a pivotal role for grid integration of various Renewable Energy Zones in the country through implementation of high-capacity Green Energy Corridors (GEC).
- ✓ Increasing the carbon sink through plantation of suitable species in and around all substation facilities. More than 6.81 lakh saplings have already been planted during last decade. POWERGRID has set a plantation target of additional 5.25 lakh saplings by 2030.
- ✓ POWERGRID, in its initiative towards sustainability & green energy, is establishing solar PV systems in its premises spread across the country. Already about 7.6 MWp of rooftop solar PV systems at more than 118 locations are in operation and generated electricity is being used to meet captive requirements. Further, the establishment of 7.5 MWp at 96 locations is in process of planning/implementation. Established capacity of rooftop solar PV systems is reducing about 9300 MT of CO₂ emission annually.
- ✓ POWERGRID has also taken action for assessing feasibility of installing large scale solar PV plants in vacant land of its premises. First of such plant is proposed to be established in Nagda, Distt. Ujjain (M.P.) having 85 MW capacity.
- ✓ In line with Gol E- Mobility mission towards lowering vehicular emission and to ensure energy sustainability, POWERGRID has been deploying e-vehicles and e-cart for day-to-day official transportation/in substation premises. POWERGRID is also developing Electric Vehicle (EV) Charging Stations across India to facilitate E-mobility solutions in road transport covering 2-Wheelers, Rickshaws/Autos, Taxis, Cars, etc.

The hyperlink for the above is <https://www.powergrid.in/csr/overview-0>

3. Does the Company identify and assess potential environmental risks? Y/N

Yes. A detailed Risk Assessment and Management procedure is in place to identify and assess potential environmental and social risks, as part of overall project analysis. The POWERGRID's ESPP which is based on the principles of Avoidance, Minimization and Mitigation outlines POWERGRID's approach and commitment to deal with environmental and social risk/issues and lays out management procedures and protocols to mitigate the same. It provides a framework for identification, assessment, and management of environmental and social concerns at both organizational and project level. ESPP framework includes procedures for: (a) Screening and Identification of Risks (from environmental receptors, social receptors and other stakeholders); (b) avoidance of risks (including criteria and procedures for alternative routing); (c) mitigation of risk through impact management, implementation of Good International Industry Practices (GIIP), adequate compensation to affected stakeholders, public consultation and disclosure, and grievance redress; (d) responsibility and resource allocation including an organization structure for management of social and environmental risks; and (e) monitoring, reporting, evaluation, feedback, management review and corrective action.

POWERGRID is accredited with a Publicly Available Specification, PAS 99:2012 based Integrated Management System (IMS) that includes ISO 9001:2015 (Quality Management System), ISO 14001:2015 (Environment Management System) and OHSAS 18001:2007 (Occupational Health & Safety Management System).

ESPP Framework



Social Objectives	Environmental Objectives
- Avoid/ minimize disturbance to habitation, tribal areas and places of cultural heritage - Consult/involve Affected Persons/communities during all stages of project implementation - Maintain highest standards of health and safety to avoid possible accidents	- Avoid operations in environmentally sensitive areas, eco sensitive zones, forests, sanctuaries, national parks, tiger/ biosphere reserves, and coastal areas covered under CRZ through study of alternatives - Consider environmental implications of location, terrain, and sensitive areas in impact identification and mitigate with innovative/practical engineering solutions - Application of efficient and safe technology practices - Abate pollution in all activities - Minimize energy losses and promote energy efficiency

4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed?

No.

5. Has the Company undertaken any other initiatives on - clean technology, energy efficiency, renewable energy, etc. Y/N. If yes, please give hyperlink for web page etc.

Yes. POWERGRID continues to undertake initiatives on Energy Efficiency which includes energy audits of various industries/ institutions/transmission & distribution companies/ other commercial establishments/ Investment Grade Energy Audit reports, etc. which is a basic need for implementation of Energy Efficiency solutions / Energy Service Company (ESCO) projects. The Company is also BEE certified Grade-I ESCO for undertaking implementation of energy efficiency projects. To facilitate implementation, POWERGRID has signed Memorandum of Understanding (MoUs) with Govt. agencies for undertaking consultancy & investment in Energy Efficiency Projects. The Company has also formed wholly owned subsidiary 'POWERGRID Energy Services Limited' to take such projects.

6. Are the Emissions/Waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Since power transmission projects do not involve any chemical process no direct emission/waste are released to environment. The only emission that can be attributed to our activities is from operation of DG sets used intermittently as power backup. However, regular maintenance of DG sets ensured containment of emission levels well within the permissible limits prescribed by Pollution Control Boards.

7. Number of show cause/ legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.

NIL [POWERGRID did not receive any show cause/ legal notice from CPCB/SPCB.]



Principle 7 - Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.

1. Is your Company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:

POWERGRID is a member of various industry bodies including the following:

1. Federation of Indian Chambers of Commerce and Industry (FICCI)
2. Confederation of Indian Industry (CII)
3. CII PSE Council
4. The Associated Chambers of Commerce & Industry of India (ASSOCHAM)
5. PHD Chamber of Commerce & Industry (PHDCCI)
6. Central Board of Irrigation & Power (CBIP)
7. World Energy Council (WEC) India
8. India Infrastructure Forum (IIF)
9. Power Foundation

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas. (dropdown: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others)

POWERGRID participates through associations in (1) above on the issues and policy matters that impact the interest of our stakeholders.

Keeping in view the significant interest of POWERGRID in the Transmission sector, a separate Regulatory cell is in place to undertake POWERGRID's endeavor of a pro-active approach as part of policy advocacy with the stakeholders and CERC/CEA/MoP. Wherever felt necessary, we give our comments on various approach papers, consultation papers, draft regulations/rules etc. issued by CERC/CEA/MoP/TRAI/other authorities. Besides, POWERGRID also gives its comments in the field of Governance & Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Sustainable Business Principles etc., as and when sought by Govt. We have also made significant contribution in designing/planning eco-friendly measures to mitigate impacts of transmission line on wildlife as a member of Task force constituted by MoEF & CC.

Principle 8- Businesses should support inclusive growth and equitable development

1. Does the Company have specified programmes/initiatives/projects in pursuit of the policy related to Principle 8? If yes details thereof.

By the very nature of our business, we touch millions of lives every day and understand that real success is the result of inclusive development of the involved entities and stakeholders. We support the principles of inclusive growth and equitable development through Corporate Social Responsibility (CSR) initiatives as well as through our core business.

Our commitment towards Social Responsibility (Labour, Employees, Communities, Employee's families) is amply reflected in our already adopted Integrated Management Policy, Environmental and Social Policy & Procedures (ESPP), Corporate Objectives, OSHAS-18001 and Social Accountability SA-8000. Corporate Social Responsibility is primarily to showcase our abiding commitment and concern to pay back to the society and environment for the benefits reaped so far. CSR has always been an integral part of our vision and the cornerstone of Core Values of Good Corporate Citizenship. We are committed towards taking responsibility for its impact, though very minimal in nature, on society and being accountable to the inhabitants of mother nature. We emphasize on overall socio-economic development of areas and communities around our operations through various community development programmes, initiatives such as Livelihood generation, Skill development, Healthcare, Education, Plantation, Sanitation, Drinking water, Roads, Drainage system, Community centers, Development and Conservation of Water bodies, etc.

2. Are the programmes/projects undertaken through in-house team/own foundation/external NGO/government structures/any other organization?

The programs / projects are undertaken by in-house teams as well as through Govt./ Semi Govt. agencies/agencies of International and National repute, etc.

3. Have you done any impact assessment of your initiative?

Yes. Impact Assessment have been carried out inter alia to assess/evaluate the community development activities undertaken, the benefits accrued to communities and to gain insights for formulating & improving the community development activities in future. For projects below ₹1 crore, impact assessment had been undertaken by POWERGRID internally. For projects above ₹1 Crore, Impact Assessment has been carried out by engaging external agencies in line with Companies (Corporate Social Responsibility Policy) Amendment Rules, 2021.



4. What is your Company's direct contribution to community development projects- Amount in and the details of the projects undertaken?

An amount of ₹271.14 Crore has been incurred and a total of 152 number of projects worth about ₹420.83 Crore have been sanctioned under CSR activities during the FY 2021-22. In addition, community development works were undertaken for the overall improvement of surrounding villages and community. Based on social assessment outcome, we implement need-based development works like Installation and Operationalization of Smart class rooms, toilets, schools' furniture, Repair/re-construction of dysfunctional toilets, supply of various medical equipment to PHC and Govt. Hospitals, construction of District Hospitals, Establishment of Gyan Kendras in various parts of the country, financial assistance for education of violence affected students, Installation of hand pumps, water supply arrangements in different schools and installation of Solar Street lights, construction of roads, community centers in villages, Engagement of Apprentices, etc. in association with local authorities, etc.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

The communities intended to be benefitted are consulted and closely involved in the process of identifying, planning and implementation of the CSR activities. Wherever possible, the local authorities and specialized agencies are similarly consulted and involved. During implementation and just before handing over of facility, regular awareness programs are organized with the help of local bodies, etc. to inculcate ownership of facility.

Principle 9- Businesses should engage with and provide value to their customers and consumers in a responsible manner

1. What percentage of customer complaints/consumer cases are pending as on the end of financial year.

NIL

2. Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes/No/N.A. /Remarks (additional information)

Not Applicable

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behavior during the last five years and pending as on end of financial year. If so, provide details thereof, in about 50 words or so.

No

4. Did your Company carry out any consumer survey/ consumer satisfaction trends?

We engage with our customers on an ongoing basis and generally hold meetings on a regular basis. The objective of said



meetings inter alia includes identification of process improvement areas, understanding concerns / expectations of customers. Based on feedback, company takes measures for system improvement, wherever required.

For & on behalf of
POWER GRID CORPORATION OF INDIA LIMITED

(K. Sreekant)
Chairman & Managing Director
DIN: 06615674

Date: 5th August, 2022

Place: Gurugram